

VRT - Vertiv | Full Deep Dive

September 21, 2026 | Framework 6.0.2 | NOT HELD | BOTTLENECK - deployment capacity and system integration | High Conviction

Analytical Base: 45/60 (75%). Valuation: 20x forward four-quarter adjusted operating profit.

Snapshot: USD 250.86 per share on September 21, 2026 close; 384.937 million shares, implying USD 96,565.29 million equity value. Source [V8]. Price is a dated header snapshot, not a valuation input in the body.

Active horizon Q3 2027 ceiling: USD 282.61/share. Q1 2028: USD 318.99/share.

All financial model amounts are USD millions, shares in millions, unless stated. Calendar and fiscal quarters coincide; fiscal year ends December 31. Actuals are separate from all modeled periods.

1. Thesis, bottleneck and expanded TAM

Vertiv turns electrical power and heat removal into deployable computing capacity. Its UPS, distribution, switchgear, cooling, racks, prefabricated systems and field services sit between committed AI investment and an operating data center. The relevant supercycle is Framework DB4, with DB6/DB1 increasing compute density and load. The company is in a scaling phase; high-density liquid cooling and higher-voltage distribution are earlier on their own adoption curves. [V2-V5]

The bottleneck is the ability to engineer, manufacture, test, commission and service complete systems quickly. Qualification, uptime liability, local service coverage and a broad portfolio create meaningful barriers, but no exclusive physics or patent barrier makes Vertiv indispensable. An alternative architecture can work without it. This is a deployment bottleneck with strong execution exposure, rather than a permanent monopoly.

SmartRun integrates data-hall power and cooling; OneCore is prefabricated/converged physical infrastructure. They contain Vertiv components already counted in products. Unify provides controls/monitoring. Counting system revenue on top of its internal power and thermal content would double count the same installation. Liquid cooling complements residual air cooling rather than eliminating the entire air-side system. [V3-V5]

The pasted research is used as a lead, with current primary evidence controlling the model. Gio Albertazzi remains CEO; Craig Chamberlin is CFO. David Fallon is a consulting adviser through 2026. Insider-selling anecdotes receive zero score weight. Unverified compensation numbers, proposed state moratoria and aggregate blocked-project dollar claims are not turned into model assumptions. Permitting and grid access enter the scored execution risk. [U1,V9]

The annual report Competition section names Schneider Electric, Eaton, Legrand and Huawei as broad competitors; Delta, Stulz, Johnson Controls and Socomec compete in specific offerings. These firms can substitute for parts of the system. Hyperscaler in-house designs can coexist with external manufacture and service, but reduce vendor pricing control. The edge is reliability, engineering breadth and commissioning speed. The named peer screen did not establish an overlooked sub-\$2B, under-five-analyst listed monopoly; no unsupported new candidate is promoted. [V7,V5]

TAM expansion and S-curve

Phase	Economic exposure	Model treatment
Phase 1: data centers, current	Power, thermal, physical integration and lifecycle service	Full weight for established demand; capex bridge and actual product/service revenues own recognition.
Phase 2: distributed/physical AI, 2027-30	Edge inference, automated factories and higher-reliability industrial power	50% conceptual confidence; embedded in existing channels, no additional overlapping TAM revenue.
Phase 3: new critical-compute deployments, 2028+	More remote, sovereign and specialized facilities	20% conceptual confidence; no independently sized revenue pool.
Upstream extension: UIG, 2027 onward	Behind-the-meter control, design and switchgear	80% closing probability applied once to a separately exposed revenue proxy.

The company-defined expanded served market is about \$75B from a \$62B legacy market, with 16-18% estimated 2025-30 CAGR. The \$49.5B data-center subset and \$29.5B cloud/colocation subset are nested, not additive. The midpoint gives \$75B x 1.17⁵ = \$164.43B in 2030; this is a market boundary, not booked orders. Management estimates \$3.25-3.75M content per MW and approximately 140GW cumulative additions across 2026-30. Multiplying all three figures would double count the opportunity. [V4] AH-12 uses a representative four-customer capex index: Amazon \$220B, Microsoft \$175B, Alphabet \$200B midpoint and Meta \$137.5B midpoint in 2026, or \$732.5B [D1-D4]. Definitions differ (cash spending and lease treatment); the index includes memory-price inflation and is not a physical-MW forecast. Named supplier wallet shares are undisclosed. A Plan-B product coefficient $2,646.7 / (732,500 / 4) = 1.44530\%$ reproduces Q2 product revenue with zero error, incorporating other customers and indirect colo channels. This single-point fit does not validate future capture. Hyperscaler spending and colo spending are never added for the same project.

2. Latest evidence and financial anchor

The April 22 and July 29 management calls were reviewed, with the September 8 conference providing the latest qualitative update. April identified regional recovery and investment in service/manufacturing capacity; July identified project timing and supply-chain congestion alongside stronger annual expectations. September continued to describe strong demand and portfolio pull-through. [V2,V3,V5]

Customer advances and milestone payments supported cash conversion. They establish commercial commitment but do not equal revenue or a published new backlog balance. The Core score includes one prepayment point within its cap. Malaysia capacity, American expansions and additional thermal capability support delivery; internal/external component dependencies can still delay acceptance. [V2]

The 800V rack/pod path is validation in 2026 and deployment in 2027; data-hall/solid-state architectures follow a 2027 validation and 2028 deployment path. Solid-state transformers remain in development. Existing AC and 400V/800V DC solutions coexist, reducing dependence on one roadmap. No unannounced platform award is assumed. [V2,V5]

Period	Status	Revenue	Gross profit	Operating profit	Source
Q1 2026	Actual	2,649.50	999.70	552.20	V1 H1 less Q2; adjusted OP
Q2 2026	Actual	3,274.30	1,234.90	738.40	V1; adjusted OP

Q2 products: revenue 2,646.7 less cost 1,667.8 = GP 978.9 (36.99%); services: 627.6 less 371.6 = GP 256.0 (40.79%). Total GP 1,234.9 less effective adjusted opex 496.5 = adjusted OP 738.4. GAAP OP 637.9 plus amortization 73.7, contingent consideration 28.8, restructuring -3.9 and M&A costs 1.9 = 738.4. The latest financial table is the numerical control; H1 adjusted OP 1,290.6 less Q2 738.4 implies Q1 552.2. Do not replace these values with rounded transcript figures. GAAP and adjusted profit are not mixed in valuation. [V1]

Current Q3 guidance is revenue 3,650-3,850 and adjusted OP 898-938. Model anchors exactly to the 3,750 / 918 midpoints. FY2026 guidance is revenue 13,800-14,200 and OP 3,285-3,365. The model holds midpoints 14,000 / 3,325, making Q4 residual revenue 4,326.2 and OP 1,116.4. Q4 is a calculated Model quarter, not separately issued company guidance. Q2 earnings include acquired businesses already; those acquisitions are not added a second time. [V1]

Balance sheet and capital allocation

Q2 ended in a net-cash position with \$5.6B liquidity; FY2026 adjusted FCF guide is \$2.4-2.6B and capex around 4% of sales. Advance payments helped Q2 cash generation and should not be annualized. UIG requires roughly \$1.45B cash at closing plus up to \$1.15B contingent cash; Q4 closing remains conditional. Net cash does not mean the earnout is free. No separate net-cash addition or assumed debt-funded buyback increases the ceiling. [V1,V2,V6]

3. Base score and evidence ledger

Category	Score	Evidence
Core Thesis /20	17	System-level qualification, global commissioning and service; includes +1 for customer advances. Several capable competitors.
Cycle Stage /10	8	AI deployment ramp is underway; 800V and liquid cooling extend it, with capacity already expanding.
TAM Expansion /10	8	Power/cooling primitive spans data centers and distributed compute; no claim that all adjacent markets are captured.
Catalysts /5	5	H2 conversion, Q4 UIG decision, 2027 architecture deployment and capacity.
Macro /10	9	Committed AI infrastructure spending and grid constraints, with project pacing risk.
Alpha /5	2	Accounting and non-additivity work matter, but broad institutional coverage limits information asymmetry.
Risks	-4	One point each for competition, execution/technology, demand concentration and capital allocation.
Total	45/60 = 75%	High Conviction

45/60 = 75% is the independently derived analytical score. New workbook entry uses the same Base. Geographic exposure is not a standalone penalty; specific supply, trade and permitting risks sit in execution. No deduction is taken for prior share performance or insider selling.

4. Quarterly operating model

One base case, 18 calendar/fiscal operating quarters and 15 complete forward-four-quarter ceilings. Model the two separately reported gross-profit pools, products and services, plus the UIG probability-weighted vector. Power-versus-thermal gross margins are not disclosed; a made-up subproduct margin split would add precision without evidence. Ordinary production depreciation is inside cost of sales. The model uses adjusted OP consistent with guidance.

Revenue vector	Driver and source	Confidence
Power, thermal and integrated products	Q2 reported product revenue [V1]; calibrated capex index [D1-D4], recognition/content factors supported by architecture and backlog [V2,V4].	MEDIUM near term; LOW beyond 2027
Services	Reported services revenue/GM [V1]; installed-base and commissioning growth [V3,V4,V5]. Growth indices are analyst estimates.	MEDIUM near term; LOW beyond 2027
UIG conditional contribution	1,450/13 = 111.54 EBITDA in 2027 [V6]; 30% EBITDA margin, 3% depreciation and 80% close probability are analyst proxies.	LOW

Products = Q2 products x (annual customer-capex index / 732,500) x recognition/content factor. 2026 factors back-solve only the stated guide anchors. From 2027 factors are 1.05, 1.10, 1.15, 1.20 by quarter, combining seasonality and increasing content; they are not disclosed shares or unit shipments. Each customer capex trajectory uses analyst growth of 25%, 20%, 14%, 10% in 2027-30. Services use the visible dollar path, anchored to 627.6 Q2 and 2025 lifecycle/service mix; after 2027 they scale 20%, 14%, 10% annually. Separate GM trajectories reflect product leverage and the services premium observed in Q2. ER&D is carved out of total operating costs, not subtracted twice from reported SG&A. Q3/Q4 effective SG&A ratios reconcile exactly to guidance; later R&D 4.0% to 3.7% and SG&A roughly 12% to 10.9% are analyst leverage assumptions. UIG has 45% proxy GM and 18% operating costs; Other opex is the algebraic correction ensuring its own 18% ratio after the shared cost build. These are adjustment-consistent estimates, not GAAP expense forecasts.

Physical and commercial drivers

Quarter	Capex index USD M	Product factor	Service revenue	UIG revenue, 80%
Q3 2026	732,500.0	1.1429	725.00	0.00
Q4 2026	732,500.0	1.3210	830.00	0.00
Q1 2027	915,625.0	1.0500	850.00	74.36
Q2 2027	915,625.0	1.1000	930.00	74.36
Q3 2027	915,625.0	1.1500	1,000.00	74.36
Q4 2027	915,625.0	1.2000	1,100.00	74.36
Q1 2028	1,098,750.0	1.0500	1,020.00	89.23
Q2 2028	1,098,750.0	1.1000	1,116.00	89.23
Q3 2028	1,098,750.0	1.1500	1,200.00	89.23
Q4 2028	1,098,750.0	1.2000	1,320.00	89.23
Q1 2029	1,252,575.0	1.0500	1,162.80	102.62
Q2 2029	1,252,575.0	1.1000	1,272.24	102.62
Q3 2029	1,252,575.0	1.1500	1,368.00	102.62
Q4 2029	1,252,575.0	1.2000	1,504.80	102.62
Q1 2030	1,377,832.5	1.0500	1,279.08	112.88
Q2 2030	1,377,832.5	1.1000	1,399.46	112.88
Q3 2030	1,377,832.5	1.1500	1,504.80	112.88
Q4 2030	1,377,832.5	1.2000	1,655.28	112.88

Qualification and product allocation

The announced transaction is a credible contingent source, not completed revenue. 80% applies once to the entire forecast revenue and associated profit; no second probability is applied to the ceiling. No Q4 2026 earnings are included because close date and stub-period economics are undisclosed.

Source pool	Unweighted economics	Probability / timing	Recognized treatment
UIG [V6]	2027 EBITDA 1,450/13 = 111.54; revenue proxy 111.54/30% = 371.79; OP at 27% = 100.38	80%, beginning Q1 2027	2027 revenue 297.44; OP 80.31; 2028/29/30 proxy growth 20%/15%/10%
Other unidentified acquisitions / new markets	No independently sized pool	Unquantified	No separate revenue increment

Vector revenue, gross margin and gross profit

For each row: vector gross profit = vector revenue x its own gross margin. The following tables expose the inputs; they are analyst model assumptions unless explicitly identified as reported or guided.

Power, thermal and integrated products

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	3,025.00	39.00%	1,179.75
Q4 2026	3,496.20	40.00%	1,398.48
Q1 2027	3,473.79	40.00%	1,389.52
Q2 2027	3,639.21	40.50%	1,473.88
Q3 2027	3,804.63	41.00%	1,559.90
Q4 2027	3,970.05	41.50%	1,647.57
Q1 2028	4,168.55	41.50%	1,729.95
Q2 2028	4,367.06	42.00%	1,834.16
Q3 2028	4,565.56	42.50%	1,940.36
Q4 2028	4,764.06	43.00%	2,048.55
Q1 2029	4,752.15	42.50%	2,019.66
Q2 2029	4,978.44	43.00%	2,140.73
Q3 2029	5,204.74	43.50%	2,264.06
Q4 2029	5,431.03	44.00%	2,389.65
Q1 2030	5,227.36	43.00%	2,247.77
Q2 2030	5,476.29	43.50%	2,382.18
Q3 2030	5,725.21	44.00%	2,519.09
Q4 2030	5,974.13	44.50%	2,658.49

Services

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	725.00	42.00%	304.50
Q4 2026	830.00	42.50%	352.75
Q1 2027	850.00	43.00%	365.50
Q2 2027	930.00	43.00%	399.90
Q3 2027	1,000.00	43.50%	435.00
Q4 2027	1,100.00	44.00%	484.00
Q1 2028	1,020.00	44.00%	448.80
Q2 2028	1,116.00	44.00%	491.04
Q3 2028	1,200.00	44.00%	528.00
Q4 2028	1,320.00	44.00%	580.80
Q1 2029	1,162.80	44.50%	517.45
Q2 2029	1,272.24	44.50%	566.15
Q3 2029	1,368.00	44.50%	608.76
Q4 2029	1,504.80	44.50%	669.64
Q1 2030	1,279.08	45.00%	575.59
Q2 2030	1,399.46	45.00%	629.76
Q3 2030	1,504.80	45.00%	677.16
Q4 2030	1,655.28	45.00%	744.88

UIG conditional contribution

Quarter	Revenue	Gross margin	Gross profit	
Q3 2026		0.00	45.00%	0.00
Q4 2026		0.00	45.00%	0.00
Q1 2027		74.36	45.00%	33.46
Q2 2027		74.36	45.00%	33.46
Q3 2027		74.36	45.00%	33.46
Q4 2027		74.36	45.00%	33.46
Q1 2028		89.23	45.00%	40.15
Q2 2028		89.23	45.00%	40.15
Q3 2028		89.23	45.00%	40.15
Q4 2028		89.23	45.00%	40.15
Q1 2029		102.62	45.00%	46.18
Q2 2029		102.62	45.00%	46.18
Q3 2029		102.62	45.00%	46.18
Q4 2029		102.62	45.00%	46.18
Q1 2030		112.88	45.00%	50.79
Q2 2030		112.88	45.00%	50.79
Q3 2030		112.88	45.00%	50.79
Q4 2030		112.88	45.00%	50.79

Combined quarterly earnings

Quarter	Status	Revenue	Gross profit	R&D	SG&A	Other opex	OP	OP margin
Q3 2026	Model	3,750.00	1,484.25	150.00	416.25	0.00	918.00	24.48%
Q4 2026	Model	4,326.20	1,751.23	173.05	461.78	0.00	1,116.40	25.81%
Q1 2027	Model	4,398.15	1,788.48	175.93	527.78	1.49	1,083.29	24.63%
Q2 2027	Model	4,643.57	1,907.24	185.74	547.94	1.64	1,171.92	25.24%
Q3 2027	Model	4,878.99	2,028.36	195.16	565.96	1.78	1,265.45	25.94%
Q4 2027	Model	5,144.41	2,165.03	205.78	586.46	1.93	1,370.86	26.65%
Q1 2028	Model	5,277.78	2,218.90	205.83	606.95	2.32	1,403.80	26.60%
Q2 2028	Model	5,572.29	2,365.36	217.32	635.24	2.41	1,510.39	27.11%
Q3 2028	Model	5,854.79	2,508.52	228.34	661.59	2.50	1,616.09	27.60%
Q4 2028	Model	6,173.29	2,669.50	240.76	691.41	2.59	1,734.75	28.10%
Q1 2029	Model	6,017.57	2,583.29	228.67	679.98	2.98	1,671.66	27.78%
Q2 2029	Model	6,353.30	2,753.05	241.43	711.57	3.08	1,796.98	28.28%
Q3 2029	Model	6,675.35	2,919.00	253.66	740.96	3.18	1,921.19	28.78%
Q4 2029	Model	7,038.44	3,105.47	267.46	774.23	3.28	2,060.49	29.27%
Q1 2030	Model	6,619.32	2,874.15	244.91	741.36	3.50	1,884.37	28.47%
Q2 2030	Model	6,988.63	3,062.74	258.58	775.74	3.61	2,024.81	28.97%
Q3 2030	Model	7,342.89	3,247.05	271.69	807.72	3.72	2,163.92	29.47%
Q4 2030	Model	7,742.29	3,454.16	286.46	843.91	3.84	2,319.95	29.96%

Quarterly drivers and confidence

Calendar / fiscal	Status	Revenue	OP margin	OP	Main driver	Confidence
Q3 2026 / FQ3 FY2026	Model	3,750.00	24.48%	918.00	Q3 guidance conversion	HIGH guide anchor / MEDIUM mix
Q4 2026 / FQ4 FY2026	Model	4,326.20	25.81%	1,116.40	FY guide residual and large projects	MEDIUM guide residual
Q1 2027 / FQ1 FY2027	Model	4,398.15	24.63%	1,083.29	Seasonal conversion; conditional UIG	MEDIUM core / LOW UIG
Q2 2027 / FQ2 FY2027	Model	4,643.57	25.24%	1,171.92	Customer capacity ramp	MEDIUM core / LOW UIG
Q3 2027 / FQ3 FY2027	Model	4,878.99	25.94%	1,265.45	Rack/pod 800V deployments	MEDIUM core / LOW UIG
Q4 2027 / FQ4 FY2027	Model	5,144.41	26.65%	1,370.86	Year-end commissioning	MEDIUM core / LOW UIG
Q1 2028 / FQ1 FY2028	Model	5,277.78	26.60%	1,403.80	Data-hall validation to deployment	LOW
Q2 2028 / FQ2 FY2028	Model	5,572.29	27.11%	1,510.39	Capacity and thermal mix	LOW
Q3 2028 / FQ3 FY2028	Model	5,854.79	27.60%	1,616.09	Installed-base services	LOW
Q4 2028 / FQ4 FY2028	Model	6,173.29	28.10%	1,734.75	Year-end delivery	LOW
Q1 2029 / FQ1 FY2029	Model	6,017.57	27.78%	1,671.66	Demand extension; low visibility	LOW
Q2 2029 / FQ2 FY2029	Model	6,353.30	28.28%	1,796.98	Demand extension; low visibility	LOW
Q3 2029 / FQ3 FY2029	Model	6,675.35	28.78%	1,921.19	Demand extension; low visibility	LOW
Q4 2029 / FQ4 FY2029	Model	7,038.44	29.27%	2,060.49	Demand extension; low visibility	LOW
Q1 2030 / FQ1 FY2030	Model	6,619.32	28.47%	1,884.37	Demand extension; low visibility	LOW
Q2 2030 / FQ2 FY2030	Model	6,988.63	28.97%	2,024.81	Demand extension; low visibility	LOW
Q3 2030 / FQ3 FY2030	Model	7,342.89	29.47%	2,163.92	Demand extension; low visibility	LOW
Q4 2030 / FQ4 FY2030	Model	7,742.29	29.96%	2,319.95	Demand extension; low visibility	LOW

Annual trajectory cross-check

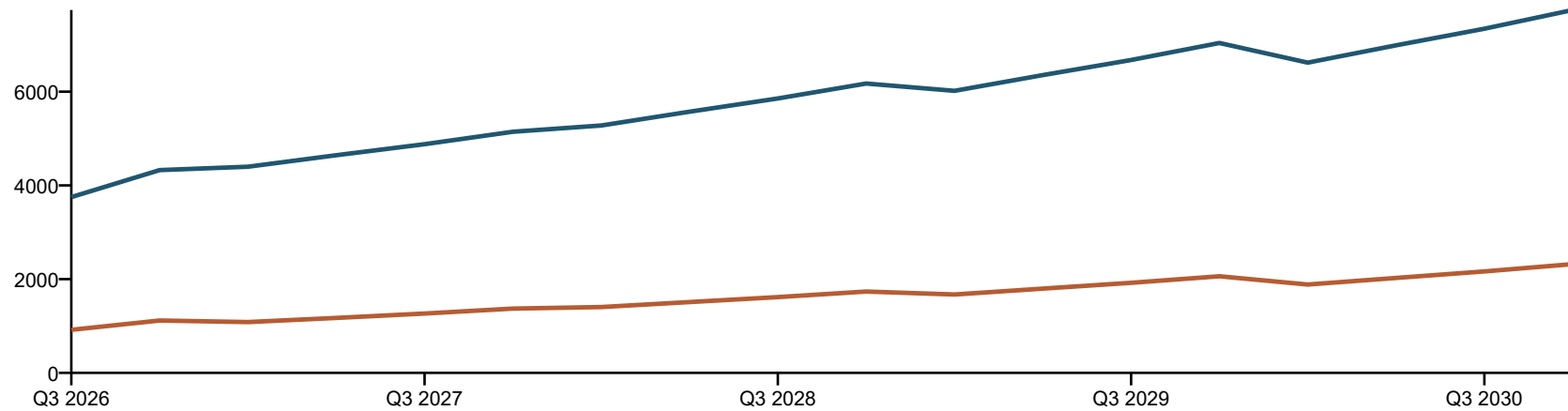
The calendar-bucket sums below are a capacity and demand cross-check; quarterly windows remain the live valuation method. Years beyond the latest guidance are model extensions, not company guidance.

Year	Revenue	Operating profit	OP margin
2027	19,065.12	4,891.52	25.66%
2028	22,878.15	6,265.03	27.38%
2029	26,084.66	7,450.32	28.56%
2030	28,693.12	8,393.04	29.25%

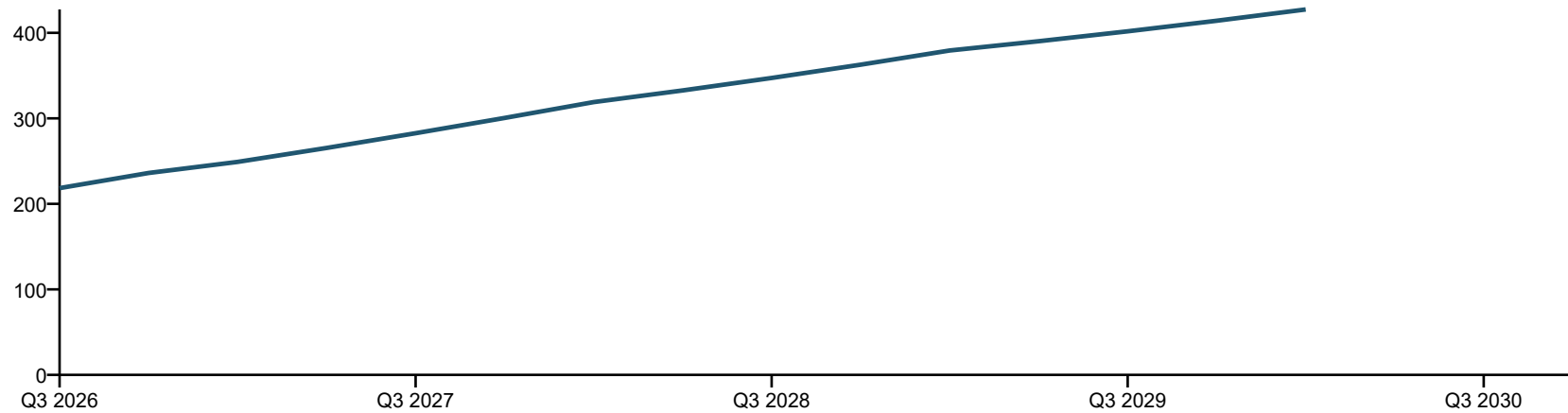
The independent capex/recognition bridge can exceed the May long-range 20-22% revenue CAGR goal because it uses the subsequently raised FY2026 guide and explicit customer-spend assumptions. Compare the generated 2030 revenue with the \$164.43B midpoint served-market proxy; this is a modest share-gain requirement, not confirmation of customer orders. The margin path reaches roughly the company 27%+ goal, but depends on cost leverage. Management goals are a cross-check, never an additional revenue vector. Beyond the next 12-16 months confidence deteriorates substantially.

5. Forward four-quarter ceiling and derivations

Revenue (blue), operating profit (orange) - USD M



Forward-four-quarter ceiling - USD/share



The sanctioned valuation input is 20x forward-four-quarter adjusted operating profit, following the user instruction of September 21, 2026 to use 20x unless otherwise specified. This is an operating-profit convention, not a net-income P/E. The multiple remains constant across all fifteen ceiling windows. A one-turn change moves each ceiling by 5%; it does not compensate for a delivery miss.

The framework convention applies the operating-profit multiple directly to diluted equity shares. It is neither a net-income P/E nor an enterprise-value bridge. No separate net-cash addition, tax conversion, probability haircut or price-dependent ranking enters this ceiling. Any probability-weighted revenue is already included once in its operating vector.

Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Diluted shares	Ceiling/share
Q3 2026	Q3 2026 to Q2 2027	4,289.61	20x	392.800	218.41
Q4 2026	Q4 2026 to Q3 2027	4,637.06	20x	392.800	236.10
Q1 2027	Q1 2027 to Q4 2027	4,891.52	20x	392.800	249.06
Q2 2027	Q2 2027 to Q1 2028	5,212.04	20x	392.800	265.38
Q3 2027	Q3 2027 to Q2 2028	5,550.51	20x	392.800	282.61
Q4 2027	Q4 2027 to Q3 2028	5,901.14	20x	392.800	300.47
Q1 2028	Q1 2028 to Q4 2028	6,265.03	20x	392.800	318.99
Q2 2028	Q2 2028 to Q1 2029	6,532.88	20x	392.800	332.63
Q3 2028	Q3 2028 to Q2 2029	6,819.47	20x	392.800	347.22
Q4 2028	Q4 2028 to Q3 2029	7,124.57	20x	392.800	362.76
Q1 2029	Q1 2029 to Q4 2029	7,450.32	20x	392.800	379.34
Q2 2029	Q2 2029 to Q1 2030	7,663.03	20x	392.800	390.17
Q3 2029	Q3 2029 to Q2 2030	7,890.86	20x	392.800	401.77
Q4 2029	Q4 2029 to Q3 2030	8,133.59	20x	392.800	414.13
Q1 2030	Q1 2030 to Q4 2030	8,393.04	20x	392.800	427.34

Recognition timing by ceiling

Ceiling quarter	Key inflection entering the forward window
Q3 2026	Q3 guidance conversion through Customer capacity ramp
Q4 2026	FY guide residual and large projects through Rack/pod 800V deployments
Q1 2027	Seasonal conversion; conditional UIG through Year-end commissioning
Q2 2027	Customer capacity ramp through Data-hall validation to deployment
Q3 2027	Rack/pod 800V deployments through Capacity and thermal mix
Q4 2027	Year-end commissioning through Installed-base services
Q1 2028	Data-hall validation to deployment through Year-end delivery
Q2 2028	Capacity and thermal mix through Demand extension; low visibility
Q3 2028	Installed-base services through Demand extension; low visibility
Q4 2028	Year-end delivery through Demand extension; low visibility
Q1 2029	Demand extension; low visibility through Demand extension; low visibility
Q2 2029	Demand extension; low visibility through Demand extension; low visibility
Q3 2029	Demand extension; low visibility through Demand extension; low visibility
Q4 2029	Demand extension; low visibility through Demand extension; low visibility
Q1 2030	Demand extension; low visibility through Demand extension; low visibility

Complete derivation for every ceiling quarter

Q3 2026: OP window Q3 2026 to Q2 2027: $(918.00 + 1,116.40 + 1,083.29 + 1,171.92) \times 20 / 392.800 = \text{USD } 218.41$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2026: OP window Q4 2026 to Q3 2027: $(1,116.40 + 1,083.29 + 1,171.92 + 1,265.45) \times 20 / 392.800 = \text{USD } 236.10$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2027: OP window Q1 2027 to Q4 2027: $(1,083.29 + 1,171.92 + 1,265.45 + 1,370.86) \times 20 / 392.800 = \text{USD } 249.06$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2027: OP window Q2 2027 to Q1 2028: $(1,171.92 + 1,265.45 + 1,370.86 + 1,403.80) \times 20 / 392.800 = \text{USD } 265.38$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2027: OP window Q3 2027 to Q2 2028: $(1,265.45 + 1,370.86 + 1,403.80 + 1,510.39) \times 20 / 392.800 = \text{USD } 282.61$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2027: OP window Q4 2027 to Q3 2028: $(1,370.86 + 1,403.80 + 1,510.39 + 1,616.09) \times 20 / 392.800 = \text{USD } 300.47$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2028: OP window Q1 2028 to Q4 2028: $(1,403.80 + 1,510.39 + 1,616.09 + 1,734.75) \times 20 / 392.800 = \text{USD } 318.99$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2028: OP window Q2 2028 to Q1 2029: $(1,510.39 + 1,616.09 + 1,734.75 + 1,671.66) \times 20 / 392.800 = \text{USD } 332.63$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2028: OP window Q3 2028 to Q2 2029: $(1,616.09 + 1,734.75 + 1,671.66 + 1,796.98) \times 20 / 392.800 = \text{USD } 347.22$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2028: OP window Q4 2028 to Q3 2029: $(1,734.75 + 1,671.66 + 1,796.98 + 1,921.19) \times 20 / 392.800 = \text{USD } 362.76$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2029: OP window Q1 2029 to Q4 2029: $(1,671.66 + 1,796.98 + 1,921.19 + 2,060.49) \times 20 / 392.800 = \text{USD } 379.34$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2029: OP window Q2 2029 to Q1 2030: $(1,796.98 + 1,921.19 + 2,060.49 + 1,884.37) \times 20 / 392.800 = \text{USD } 390.17$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2029: OP window Q3 2029 to Q2 2030: $(1,921.19 + 2,060.49 + 1,884.37 + 2,024.81) \times 20 / 392.800 = \text{USD } 401.77$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2029: OP window Q4 2029 to Q3 2030: $(2,060.49 + 1,884.37 + 2,024.81 + 2,163.92) \times 20 / 392.800 = \text{USD } 414.13$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2030: OP window Q1 2030 to Q4 2030: $(1,884.37 + 2,024.81 + 2,163.92 + 2,319.95) \times 20 / 392.800 = \text{USD } 427.34$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

The final three operating quarters support earlier four-quarter windows and have no standalone ceiling. Arithmetic uses unrounded inputs; displayed components are rounded for readability.

Use 392.8M diluted shares throughout, matching the current guide, instead of the pasted article 390M or Q2 basic shares. Q2 weighted diluted count is 392.747M. A flat path assumes routine equity compensation and repurchases roughly offset; no denominator contraction is credited. UIG is a cash transaction; future equity-financed acquisitions would require explicit additional dilution. [V1,V6]

Mechanical share sensitivity

Q1 2028 denominator	Ceiling/share
Current model	318.99
5% more shares	303.80
10% more shares	289.99

6. Cross-book relationships and monitoring

VRT <-> NVDA/AMD: compute density and rack power drive design requirements. Validation milestones, rather than accelerator headlines alone, control recognition.

VRT <-> HPS/AMSC/power suppliers: grid access and electrical equipment can both create demand and delay deployment. VRT does not own all upstream power content.

VRT <-> MU/SK Hynix/Samsung and STX/WDC: common capex exposure creates portfolio correlation. Memory-price inflation can lift headline capex without equivalent electrical capacity.

Information-processing map: stronger demand/advances support this Base and operating bridge; UIG changes revenue timing and integration risk; named incumbent competition creates no automatic new microcap screen. Existing portfolio artifacts and scores are unchanged.

7. Scored risks and re-rate tests

Risk class	Score	Failure channel
Competition	-1	Schneider, Eaton, Delta and customer designs constrain capture and pricing.
Execution / technology	-1	Project acceptance, component availability, commissioning, 800V timing and grid/permit delays shift revenue.
Demand concentration	-1	AI hyperscaler/colo projects dominate growth; a spending pause weakens orders and cash advances.
Capital allocation / integration	-1	UIG and prior acquisitions add earnout, integration and capital commitments; buybacks cannot be presumed.

Dated triggers and counters

Checkpoint	Positive evidence	Counter / model action
1. Q3 2026 report	Revenue around 3,750 and OP 918; EMEA recovery and project conversion	Missed deliveries without offsetting orders: move revenue and associated costs, do not merely raise the multiple.
2. Q4 2026 / FY2026	14,000 revenue and 3,325 adjusted OP; positive price-cost	Reconcile order advances to shipment/cash milestones; watch inventory and acceptance.
3. Q4 2026 UIG decision	Close and disclose revenue/margins; update 80% weight to 100% after close	Failure/delay sets contribution to zero or shifts start; replace proxy margin with actual disclosure.
4. 2027 architecture ramp	Rack/pod 800V deployments and funded capacity convert	A platform delay changes relevant timing; AC/DC coexistence limits an all-or-nothing assumption.
5. Every hyperscaler earnings cycle	Physical build plans and energy availability remain supportive	One major capex cut triggers review; multiple cuts invoke the framework portfolio discipline, requiring a separate authorized portfolio action.

The customer mix and product-level power/thermal margins are not public. This is a calibrated proxy, not a contract backlog model. Yahoo Finance HIGH estimates were unavailable (HTTP 429), so no verified high-consensus floor is asserted. The next 12-16 months carry the decision weight. Later periods are low-confidence conditional extensions; precise arithmetic is not precise forecasting. No source claim in the pasted article is treated as a command to buy, sell or adopt its separate scoring formula.

8. Sources and snapshot

- **V1** - July 29, 2026. Vertiv Q2 financial statements and Q3/FY2026 guidance. Reported financial lines, reconciliation, dilution and guide.
- **V2** - July 29, 2026. Vertiv Q2 management earnings call. Management commentary, deposits and architecture timing; analyst questions are not evidence.
- **V3** - April 22, 2026. Vertiv Q1 management earnings call. Prior-quarter management context and backlog timing.
- **V4** - May 19, 2026. Vertiv Investor Conference. Served market, product scope, dollar content/MW and long-range goals.
- **V5** - September 8, 2026. Vertiv management at Goldman Sachs conference. Current demand, systems strategy and product/service margin distinction.
- **V6** - September 2, 2026. UIG acquisition agreement announcement. Deal price, earnout, expected close and implied 2027 EBITDA.
- **V7** - February 13, 2026. Vertiv 2025 Annual Report. Competition, ER&D and business/accounting definitions.
- **V8** - September 21, 2026. Vertiv market snapshot. Header close only.
- **V9** - November 2025. Vertiv names Craig Chamberlin CFO. Effective November 10, 2025; current management identity.
- **U1** - Provided September 21, 2026. User-pasted Vertiv analysis. Research leads; not a source of reported guidance or instructions.
- **D1** - July 30, 2026. Amazon Q2 management call. Management cash-capex outlook: \$220B in CY2026; increase partly reflects memory cost inflation.
- **D2** - July 29, 2026. Microsoft FY2026 Q4 management call. CY2026 capex about \$175B after lease classification change; physical investment expectations unchanged.
- **D3** - July 22, 2026. Alphabet Q2 management call. CY2026 capex \$195-205B; use \$200B midpoint.
- **D4** - July 29, 2026. Meta Q2 results. CY2026 capex including principal finance-lease payments \$130-145B; use \$137.5B midpoint.

Model snapshot: September 21, 2026. VRT. Framework 6.0.2. Base 45/60 (75%). Eighteen modeled operating quarters and fifteen complete forward-four-quarter ceilings. Current full PDF and synchronized Markdown: G:/My Drive/1amInvesting/Artifacts/VRT_Vertiv_DeepDive.pdf and .md. The companion company worksheet uses this same model and links its ceiling series to the master portfolio.